while we were in session. I cannot conceive of any parallel to such a procedure in any country.'[8] He also pointed out that no other country except India had adopted a rate higher than its pre-war one.

Purshotamdas questioned the government assertion that prices and wages had already adjusted to the 1s 6d rate. It was pointed out that while export and import prices adjust almost automatically to changes in exchange rates, internal prices adjust with a time lag. Keynes had estimated that for the United Kingdom, two years were necessary for an adjustment to take place to a 10 percent variation in exchange. If this was the case in a country like the United kingdom with a very high proportion of external trade to total trade, then the adjustment was likely to take much longer (10 years) in India's case whose internal trade was 5-10 times her external trade. Purshotamdas argued that the greater part of the general adjustment to 1s 6d by a fall was still to come.[9]

As for real wages, Purshotamdas argued that no adjustment had taken place as there had been no reduction in the level of wages from 1921 when the rupee was below 1s 4d. He contended that the trade unions would not allow a cut in wages on any account and the adjustment in wages would 'entail a long and bitter struggle between Labour and Capital, with consequent disturbance in the economic organization of the country.'[10] It was also pointed out that a higher ratio would severely hit the agriculturist by reducing the amount of rupees he received from each unit of exports by 12.5 percent. The Indian producer with very little holding power was unable to influence international prices which he had to accept as given. In case the Indian cultivator could not reduce his prices to the world level, he would miss the world market. 'He must either sell his produce at once at a loss, or be forced to hold on for a better price, which, however, would expose him to the risk of having to sell his produce later at a time when the world's demand has been met from other sources and consequently to accept a still more unremunerative rate.'[11]

Purshotamdas observed that the maintenance of the level of exports did not indicate the suitability of the higher rate but was a reflection of the low holding power of the agriculturist who was forced to sell at lower prices merely because the produce had to be sold before the next harvest. A cheapening of imports did not compensate the agriculturist because the proportion of imports consumed by the masses was very low with estimates